

Relegating the Tank: Where the NBA's 3-2-1 Lottery Moves the Incentive to Lose

Introduction

The NBA's 2027-2029 3-2-1 lottery expands to 16 teams, with fewer balls for the three worst records. Building on draft-design theory (Banchio & Munro, SSAC 2020), we quantify how this reform redistributes marginal draft-value incentives across teams and competitive states.

Methods

We simulate both lotteries with an assumed implementation of 3-2-1's No. 12 floor; 2027 projections apply consecutive-pick restrictions jointly. Pick values use Win Shares in the first four post-draft seasons (Basketball-Reference, 1995-2022 drafts), with career Win Shares and All-NBA rates as checks. At the 2024-2026 All-Star breaks, Bradley-Terry ratings from pre-break games drive 40,000 simulations of remaining games, play-in and draft. Incentive is expected retained draft value gained by losing rather than winning one game, pairing otherwise identical regular-season outcomes and accounting for specified pick obligations. Out-of-contention teams have below 10% modeled playoff probability; bubble teams have 10-90%. Prospective simulations use BetMGM and Kalshi totals with a synthetic schedule.

Results

Without consecutive-pick restrictions, the three worst teams expect pick 8.1 under 3-2-1 versus 7.5 for other non-play-in teams; the old lottery's worst team expects 3.7.

Across 32 out-of-contention team-seasons, old-lottery incentive correlates with post-break shortfall, defined as projected minus observed regular-season wins (Spearman rho = 0.42, nominal p = 0.015; Figure 1B). Adjusting for pre-break win percentage weakens this exploratory association (partial rho = 0.32, nominal p = 0.08). These tests do not account for team-season dependence or establish causation.

Excluding owed picks and negligible exposure (both absolute incentives below 0.001), mean incentive across 29 out-of-contention team-seasons falls from 0.30 to -0.003 Win Shares per game, reversing sign for some teams. Across 18 bubble team-seasons it rises from 0.35 to 0.53 (+51%). Mean shifts persist under both alternative value curves. Median break-even playoff-berth value (draft gain/playoff-probability loss) rises from 3.0 to 5.9 Win Shares. For 2026-27, the bottom eight teams' mean incentive falls 89-95% across market scenarios. Indiana, Toronto and Orlando have the largest 3-2-1 point estimates under both market scenarios (Table 1).

Conclusion

Average modeled draft incentives shift toward the playoff bubble. This supports rule comparison, not a prediction of intentional losing. Code and data: <https://github.com/axel5o5/tank321>.

Table 1. BetMGM 2026-27 point estimates (WS/game), all picks fully owned: top six 3-2-1 incentives with P(playoffs)<90%, plus owners among bottom-eight win totals.

Team	Win total	3-2-1	Old rules
IND	44.5	0.36	0.25
TOR	45.5	0.35	0.25
ORL	43.5	0.34	0.28
POR	42.5	0.31	0.28
DET	49.5	0.30	0.19
CHA	39.5	0.30	0.35
CHI	29.5	0.01	0.32
MEM	29.5	0.07	0.33
SAC	21.5	-0.04	0.14

Figure 1. A: 2025-26 paired lottery incentives. B: old-lottery incentive versus post-break shortfall.

